

Northvale Demo Bank

Regulatory Circular 2026-02

Sanctions Screening Threshold Update

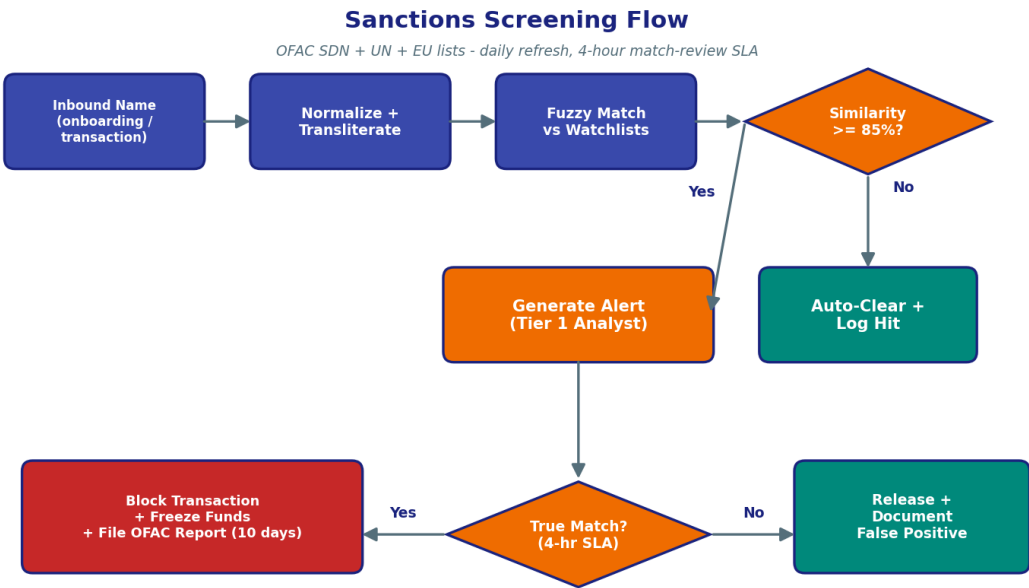
Issued: February 14, 2026 - Effective: March 1, 2026

To: All retail branches, the Customer Onboarding Operations team, and the Financial Crime Operations team. From: Office of the Chief Compliance Officer. This circular updates the fuzzy-match threshold used in real-time sanctions screening and clarifies the four-business-hour service level for reviewing potential matches.

1. Background

Following a Q4 2025 calibration exercise, the Financial Crime Operations team observed a false-positive rate of approximately 18% at the previous similarity threshold. This circular adjusts the Jaro-Winkler similarity floor from 80% to 85% and reaffirms that all potential matches must be cleared or escalated within four (4) business hours of alert generation.

2. Updated Screening Flow



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Figure 2.1 - Sanctions screening flow. The diagram shows inbound names being normalized and transliterated before fuzzy-matching against the OFAC SDN, UN consolidated, and EU consolidated lists. A similarity score at or above 85% generates an alert routed to a Tier 1 Analyst, who must reach a true-match / false-positive decision within four business hours. True matches trigger transaction blocking, fund freezing, and an OFAC report within ten calendar days.

3. Effective Date Schedule

The table below sets out the effective-date schedule for the three populations affected by this circular. New onboarding flows transition immediately on March 1. Existing customer rescreening occurs in the following two months, and legacy bulk batches roll over in April.

Population	Cutover Date	Owner
New onboarding (real-time)	March 1, 2026	Customer Onboarding Ops
Existing customer rescreening	March 15 - April 30, 2026	Financial Crime Ops
Legacy batch jobs	April 30, 2026	Sanctions Technology

All three populations must be operating at the new 85% threshold by April 30, 2026. Branch managers shall confirm rescreening completion to their Regional Compliance Officer by May 7, 2026.

4. Politically Exposed Persons (PEPs)

This circular does not change PEP screening, which continues to operate against a daily-refreshed vendor list with the same four-business-hour match-review SLA used for sanctions matches. PEP screening procedures are documented in the Sanctions Screening Procedures wiki page and cross-referenced from the KYC Customer Onboarding Policy.

Where a PEP match coincides with a sanctions match (a 'compound match'), the case shall be routed directly to a Tier 2 Sanctions Investigator and the four-business-hour SLA applies to the first analyst review rather than to final disposition.

5. Appendix - Defined Terms

Term	Definition
SDN List	Specially Designated Nationals list maintained by OFAC
Jaro-Winkler	String similarity metric used by the Bank's screening engine
True Match	A potential match confirmed to be the listed individual or entity
False Positive	A potential match cleared after analyst review
Compound Match	Concurrent PEP + sanctions match on the same name

Questions on this circular should be directed to the Office of the Chief Compliance Officer. This document is fictional and exists for GenAI RAG demonstration purposes only.